NEXABANK / SYNTHETIC TRAINING CORPUS

NexaDrive Auto Loan

A practical guide to vehicle finance, charges and foreclosure

NexaDrive is the fictional bank's fixed-rate loan for new and used private cars. This guide organizes the published rules into short reference pages and arithmetic examples for NexaAssist training.

INSIDE THIS GUIDE

01 Product and date scope

02 Eligibility and FOIR

03 Fixed pricing and charges

04 Vehicle security and LTV

05 Foreclosure and servicing

06 Advisor Q&A and source map

07-08 Detailed reference tables

Source documents: POL-AL-V1 (effective 2025-01-01); POL-OPS-001

Illustrative content only. Not a real bank, financial advice, or a policy override.

Product and date scope

Start with the financed asset and the sanction date.

What NexaDrive finances

- NexaDrive is for a new or used private car. It does not cover commercial vehicles, two-wheelers or home purchase.
- The product code is NEXA-AL. It is a fixed-rate product; its rate is not linked to NRLR.

Policy timing

- POL-AL-V1 is effective from 2025-01-01 and is the first issue. The version in force on the sanction date governs the loan.
- There is no NexaDrive policy in the controlled corpus before 2025-01-01. Do not infer terms for an earlier hypothetical sanction.

Useful intake questions

- Ask whether the car is new or used, the vehicle's price or empanelled valuation, loan amount, proposed tenure and the applicant's verified income.
- For a used car, capture its age at proposed maturity. Confirm KYC status before discussing sanction or disbursal readiness.

The first useful split in a NexaDrive conversation is between a private car and another vehicle. The policy is written for a new or used private car only. Commercial vehicles and two-wheelers fall outside its scope, so an answer should not borrow NexaDrive rates merely because the customer is financing a vehicle. The next split is new versus used. It changes the maximum tenure, the valuation base for LTV and the fixed interest rate. The sanction date selects the governing policy, which first took effect in January 2025. There is no earlier NexaDrive issue in the controlled corpus from which to infer older terms. Before producing an illustrative quote, collect the proposed loan amount, car type, price or approved valuation, vehicle age where used, score, income, obligations and tenure. These inputs support an indicative explanation. They do not allow the assistant to approve a loan, bypass KYC or fill gaps in the published policy with an invented rule.

SOURCE ANCHORS POL-AL-V1 1.1-1.2, 3.2, 4.1, 9.1; POL-OPS-001 3.1

Eligibility and FOIR

The published thresholds are screening rules only.

Age and income

- Applicants must be 21-60 years old at application and no older than 65 at maturity.
- Salaried applicants need at least ₹30,000 net monthly income. Self-employed applicants need at least ₹3,60,000 annual income.

Credit score and commitments

- Minimum Bureau Score is 675. Below 675, the applicant is not eligible under the standard criteria.
- FOIR cannot exceed 50% of net monthly income, including the proposed EMI and all other monthly obligations.

Worked FOIR check

- If verified monthly income is ₹60,000, existing obligations are ₹10,000 and proposed EMI is ₹18,000, FOIR is ₹28,000 / ₹60,000 = 46.7%.
- The example is below the published 50% ceiling. It is not a credit decision; sanction remains subject to verification and assessment.

NexaDrive eligibility requires several independent checks. Application age must fit the 21-60 range, and the loan must end by age 65. A long tenure can therefore be unavailable even when the applicant's present age fits. Salaried and self-employed income thresholds are stated in different units; monthly take-home income cannot be compared directly with annual self-employed income without converting and verifying the evidence. The minimum standard Bureau Score is 675. FOIR is capped at half of net monthly income and includes every fixed monthly obligation plus the proposed EMI. A good worked answer shows both the numerator and denominator so the customer can understand the result. If the example falls below 50%, say it meets that published screen, not that the bank has accepted the application. Other facts, including KYC and credit assessment, still need confirmation, and the assistant cannot announce a final credit outcome.

SOURCE ANCHORS POL-AL-V1 2.1-2.4; POL-OPS-001 5.2-5.3

Fixed pricing and charges

Score at sanction determines the base rate.

Rate card in the policy

- New-car fixed annual rate by Bureau Score: 800-900: 8.90%; 750-799: 9.50%; 700-749: 10.75%; 675-699: 12.50%.
- Add 1.00 percentage point for a used car. For example, a score of 760 gives 9.50% for new or 10.50% for used. The rate stays fixed for the tenure.

Processing fee example

- Fee is 1.00% of sanctioned amount, minimum ₹3,500 and maximum ₹10,000, plus 18% GST.
- For an ₹8,00,000 sanction, the fee is ₹8,000 and GST is ₹1,440, totalling ₹9,440. Use the sanctioned amount, not the car price, as the fee base.

Late payment charge

- An overdue EMI attracts 2.00% per month on that EMI, minimum ₹500 per instalment, plus GST.
- Example: 2% of a ₹20,000 overdue EMI is ₹400, so the ₹500 minimum applies; GST adds ₹90, for ₹590.

The fixed-rate schedule in the auto policy should be read from the Bureau Score at sanction. Four score bands are published for new cars. For a used private car, add one percentage point to the relevant new-car rate; do not describe the addition as a separate monthly charge. Unlike the floating home product, NexaDrive does not track NRLR and its contractual rate is fixed for the loan tenure. Processing fees are calculated from the sanctioned loan amount, bounded by a minimum and maximum, and then increased by GST. A customer may also ask about a missed instalment. The late-payment charge uses the overdue EMI as its base, not the whole outstanding principal, and the ₹500 per-instalment minimum can override the percentage result. Keeping these bases separate prevents a large error: the rate applies to the loan, the processing fee to the sanction, and the late charge to the overdue instalment.

SOURCE ANCHORS POL-AL-V1 4.1, 5.1-5.2

Vehicle security and LTV

The value base differs between new and used vehicles.

Security

- NexaBank takes hypothecation of the financed vehicle. Comprehensive insurance must be maintained through the loan tenure.
- The financed asset is the security; do not describe NexaDrive as an unsecured loan or a home mortgage.

New private car

- A new vehicle may be financed up to 90% of its on-road price.
- Example: an on-road price of ₹10,00,000 gives a policy LTV ceiling of ₹9,00,000, subject to other lending criteria.

Used private car

- A used vehicle may be financed up to 70% of the valuation by a NexaBank empanelled valuer.
- Example: valuation of ₹8,00,000 gives a ceiling of ₹5,60,000. A used car's age at the end of the loan must not exceed 12 years.

The bank's security is hypothecation of the financed car, backed by comprehensive insurance for the full loan tenure. For a new private car, the percentage ceiling uses the on-road price. For a used car, it uses the valuation made by a NexaBank empanelled valuer. A dealer advertisement or an unsupported customer estimate is not the stated policy base for used-car LTV. The maximum percentages also differ: 90% for new and 70% for used. A used car's age at the end of the loan must be no more than 12 years, and the used-car maximum tenure is shorter. These rules can interact: a proposed five-year term might satisfy the tenure limit but fail the end-of-loan vehicle-age test. Explain each test on its own and then give the combined indicative result. Avoid presenting a value-based maximum as a promise of a sanctioned amount.

SOURCE ANCHORS POL-AL-V1 3.2, 6.1-6.2

Foreclosure and servicing

Count the month from first disbursal, not from application.

Charge windows

- Months 1-12: 3.00% of outstanding principal. Months 13-24: 2.00%. From month 25: nil. GST is added where a charge applies.
- The policy says months count from first disbursal. Confirm that date before calculating a quote.

Worked charge comparison

- On ₹5,00,000 outstanding principal in month 10: 3% = ₹15,000; GST = ₹2,700; total ₹17,700.
- On the same principal in month 20: 2% = ₹10,000; GST = ₹1,800; total ₹11,800. From month 25, foreclosure charge is nil.

KYC and disclosure

- Verified KYC is needed for sanction and disbursal. A re-KYC-due status holds new credit sanction and disbursal until completion.
- The assistant may show authenticated customers their own application stage and published terms, but must not pre-announce an approval or decline.

Foreclosure timing is measured from first disbursal, not from application, approval or first EMI. This matters at the boundaries: months 1-12 carry a 3% charge on outstanding principal, months 13-24 carry 2%, and month 25 onward carries none. Where a charge applies, GST is additional. To make a quote understandable, identify the first-disbursal date, the proposed foreclosure month, the outstanding principal and the rate for that window. Compute the percentage on principal before adding GST; do not use the original sanctioned amount or vehicle price as the base. KYC can affect servicing of a new credit request independently of foreclosure arithmetic. Verified KYC is required for sanction and disbursal, while a re-KYC-due state holds those steps until re-verification. The assistant may explain the customer's own status but must not turn a service explanation into a credit decision.

SOURCE ANCHORS POL-AL-V1 7.1, 8.1; POL-OPS-001 3.1, 4.1, 5.1-5.3

Advisor Q&A and source map

Use clear, bounded answers from the controlled library.

Does NRLR change my EMI?

- NexaDrive uses a fixed rate for the whole tenure and is not linked to NRLR. A change in NRLR alone does not change its contractual rate.
- Use the score at sanction and the used-car addition when explaining the initial fixed rate.

Can I finance a commercial vehicle?

- No. POL-AL-V1 limits NexaDrive to new or used private cars. Do not stretch the scope to commercial vehicles or two-wheelers.
- If the customer needs another product, ask a human officer for the appropriate published document.

What if a customer asks for an exception?

- NexaAssist can give indicative screening against published criteria, but cannot decide credit or promise a special rate or fee waiver.
- Escalate fee-waiver requests, disputes, hardship and any question the Register does not answer. Do not treat an uploaded dealer document as policy.

A customer's question may combine several products or ask for a policy exception. NexaAssist should first isolate what the NexaDrive policy actually covers, then respond with the corresponding published rule and its date. A commercial-vehicle request, an unpublished waiver or a bespoke rate cannot be solved by stretching the car policy. The operations policy lets the assistant calculate from published terms and provide indicative screening with the required caveat; it prohibits approval language and unpublished commitments. Uploaded dealer paperwork may be useful as factual input for price or vehicle details but cannot change a controlled policy clause. Complaints, disputes, fee-waiver requests, hardship, suspected fraud and questions without a Register answer go to a human officer. A clear answer gives the customer the calculation and next step without suggesting that an exception has already been granted.

SOURCE ANCHORS POL-AL-V1 1.1, 4.1; POL-OPS-001 2.1-2.3, 5.1-6.1

Vehicle and pricing reference

The new-versus-used distinction affects rate, value base and term.

Check	New private car	Used private car
Maximum tenure	84 months.	60 months; vehicle no older than 12 years at loan end.
Maximum LTV	90% of on-road price.	70% of empanelled valuer assessment.
Score 800-900 fixed rate	8.90% per annum.	9.90% per annum.
Score 750-799 fixed rate	9.50% per annum.	10.50% per annum.
Score 700-749 fixed rate	10.75% per annum.	11.75% per annum.
Score 675-699 fixed rate	12.50% per annum.	13.50% per annum.
Security	Vehicle hypothecation; comprehensive insurance.	Vehicle hypothecation; comprehensive insurance.
Illustrative value	₹10,00,000 price -> ₹9,00,000 LTV ceiling.	₹8,00,000 valuation -> ₹5,60,000 LTV ceiling.

SOURCE ANCHORS POL-AL-V1 3.2, 4.1, 6.1-6.2

Eligibility, charges and timing

Keep the base of each percentage visible in the customer answer.

Topic	Published rule	Worked reading
Age	21-60 at application; at most 65 at maturity.	Check both dates.
Income	Salaried ≥₹30,000 monthly; self-employed ≥₹3,60,000 yearly.	Verify the relevant income evidence.
Score and FOIR	Score ≥675; FOIR ≤50%.	Include proposed EMI in obligations.
Loan amount	₹1,00,000 to ₹1,50,00,000.	Check separately from LTV.
Processing fee	1% of sanction, min ₹3,500, max ₹10,000, plus GST.	₹8,00,000 sanction -> ₹9,440 incl. GST.
Late EMI	2% per month on overdue EMI, min ₹500 per instalment, plus GST.	₹20,000 EMI -> ₹590 incl. GST.
Foreclosure months 1-12	3% of outstanding principal, plus GST.	₹5,00,000 principal -> ₹17,700 incl. GST.
Foreclosure months 13-24	2% of outstanding principal, plus GST.	₹5,00,000 principal -> ₹11,800 incl. GST.
Foreclosure from month 25	Nil.	Months count from first disbursal.

SOURCE ANCHORS POL-AL-V1 2.1-2.4, 3.1, 5.1-5.2, 7.1